CHAPTER 19

State Budget and Control Board

ARTICLE 1
OFFICE OF EXECUTIVE DIRECTOR

Statutory Authority: Act 178 of 1981, and 1976 Code §§ 4–29–140, 44–7–1590, and 48–3–140

19–101. TRAVEL REGULATIONS FOR STATE EMPLOYEES; POLICY.

Editor's Note

These regulations apply to all employees of the State or agencies thereof not otherwise specifically covered by law.

The following regulations, unless noted otherwise, were amended by State Register Volume 17, Issue No. 5, Part 1, eff May 28, 1993.

19–101.01. Travel and Transportation at State Expense.

Travel and transportation at State expense will be authorized only when officially justified and by those means which meet State government requirements consistent with good management practices.

19–101.02. Economical Considerations.

Transportation to and from points of arrival and departure will be accomplished by the most economical methods.

19–101.03. Air Travel.

Travel by commercial airlines will be accomplished in coach or tourist class, except where exigencies require otherwise.

19–101.04. Definitions.

A. Permanent place of employment: The location of the place of activity where a State employee is regularly assigned and performs work. The corporate limits of the city or town in which the employee's place of work is located. If an employee is not employed in an incorporated city or town, his permanent place of employment is the place of work.

B. Residence: The fixed or permanent domicile of a person that can reasonably be justified as a bona fide place of actual residence.

C. Mileage allowance: A rate per mile in lieu of actual expenses of operation of a privately owned automobile. If a dependent accompanies an employee on an authorized business trip, only those expenses which may be directly attributed to the employee may be reimbursed.

19–101.05. Automobile Travel.

Auto travel should be by the most direct route practicable, and substantial deviation from distances shown by the current State Highway system map of the South Carolina Highway Department should be explained.

19–101.06. Mileage Between Employee's Home and Place of Employment.

Mileage between an employee's home and his/her place of employment is not subject to reimbursement. However, when an employee leaves on a business trip directly from his/her home, and does not

(b) Identification of a risk manager,

(c) A committee of reference for risk management,

(d) Education and training,

(e) A system for reporting incidents to the State Insurance Reserve Fund including adverse effects of medical management, and

(f) Participation in loss control educational programs and services sponsored by the State Insurance Reserve Fund.

Editor's Note

This regulation became effective May 11, 1979.

19–445. Consolidated Procurement Code.

(Statutory Authority: 1976 Code Section 11–35–10 et seq., and 2019 Act No. 41, Section 76.)

Editor's Note

2019 Act No. 41 (S.530), § 76, directed the State Fiscal Accountability Authority to publish interim regulations, which were published in SCSR43–8 Doc. No. 4895, effective August 23, 2019. Section 76 of 2019 Act No. 41 provides:

"No later than the first Monday in September after this act takes effect, the State Fiscal Accountability Authority shall publish interim regulations it will follow to implement changes to Chapter 35, Title 11 of the 1976 Code, as contained in this act. These interim regulations must be used in implementing this act until such time as the final rules and regulations are adopted in accordance with this section and Chapter 23, Title 1. No later than the first Monday in November after this act takes effect, the State Fiscal Accountability Authority shall publish a draft of the proposed final regulations it will follow to implement changes; provided, however, the interim regulations are not subject to the provisions of Chapter 23, Title 1."

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(2) Services which fall within this definition shall be procured in accordance with State personnel policies and procedures.

C. Employment Services.

(1) For the purposes of these Regulations, employment services shall be defined as follows: An individual performing services indirectly for the State of South Carolina, or any governmental body thereof, whose services are obtained through a private employment agency. The employee employer relationship exists between the private employment agency and its employee. The State, or any governmental body, will contract with the private employment agency for the services of its employees.

(2) Services which fall within this definition shall be procured in accordance with the Code and these Regulations.

D. Legal Services.

Prior to the award of any state contract for the services of attorneys, approval for such services shall be obtained by the governmental body from the State Attorney General.

E. Auditing Services.

Prior to the award of any state contract for auditing or accounting services, approval for such services shall be obtained by the governmental body from the State Auditor.

HISTORY: Added by State Register Volume 6, Issue No. 7, eff May 7, 1982. Amended by State Register Volume 31, Issue No. 5, eff May 25, 2007.

19–445.2027. Electronic Commerce.

A. ''Electronic commerce'' means electronic techniques for accomplishing business transactions including electronic mail or messaging, World Wide Web technology, electronic bulletin boards, purchase cards, electronic funds transfer, and electronic data interchange.

B. General.

(1) The State may use electronic commerce whenever practicable or cost-effective. The use of terms commonly associated with paper transactions (e.g., ''copy,'' ''document,'' ''page,'' ''printed,'' ''sealed envelope,'' and ''stamped'') shall not be interpreted to restrict the use of electronic commerce. The responsible procurement officer may supplement electronic transactions by using other media to meet the requirements of any contract action governed by the Consolidated Procurement Code (e.g., transmit hard copy of drawings).

(2) Agencies may exercise broad discretion in selecting the information technology that will be used in conducting electronic commerce. However, the head of each agency shall ensure that systems, technologies, procedures, and processes used by the agency to conduct electronic commerce-

(a) Are implemented uniformly throughout the agency, to the maximum extent practicable;

(b) Are implemented only after considering the full or partial use of existing infrastructures;

(c) Facilitate access to State acquisition opportunities by as many persons as practicable, including small businesses, minority business enterprises, and socially and economically disadvantaged small businesses;

(d) Include a means of providing widespread public notice of acquisition opportunities and a means of responding to notices or solicitations electronically;

(e) Comply with applicable standards that broaden interoperability and ease the electronic interchange of information; and

(f) Are capable of ensuring authentication and confidentiality commensurate with the risk and magnitude of the harm from loss, misuse, or unauthorized access to or modification of the information.

(3) Agencies using the procurement functionality of the South Carolina Enterprise Information System are deemed to have complied with subsection (B)(2) of this regulation.

(4) Consistent with provisions of the Uniform Electronic Transactions Act, Sections 26–6–10, et seq., agencies may accept electronic signatures and records in connection with State contracts.

C. Submission of Offers by Electronic Commerce. Subject to all other applicable regulations (e.g., R.19–445.2045 and -2050), the responsible procurement officer may authorize use of electronic

commerce for submission of bids and proposals. If electronic submissions are authorized, the solicitation shall specify the electronic commerce method(s) that offerors may use. Offers submitted by electronic commerce shall be considered only if the electronic commerce method was specifically stipulated or permitted by the solicitation.

HISTORY: Added by SCSR 44–4 Doc. No. 4861, eff April 24, 2020.

19–445.2030. Competitive Sealed Bidding—The Invitation for Bids.

A. The invitation for bids shall be used to initiate a competitive sealed bid procurement and shall include the following, as applicable:

(1) instructions and information to bidders concerning the bid submission requirements, including the time and date set for receipt of bids, the individual to whom the bid is to be submitted, the address of the office to which bids are to be delivered, the maximum time for bid acceptance by the State, and any other special information;

(2) the purchase description, evaluation factors, delivery or performance schedule, and such inspection and acceptance requirements as are not included in the purchase description;

(3) the contract terms and conditions, including warranty and bonding or other security requirements, as applicable; and

(4) Instructions to bidders on how to visibly mark information which they consider to be exempt from public disclosure.

B. Adequate notice of the invitation for bids must be given at a reasonable time before the date set forth in it for the opening of bids. Accordingly, bidding time will be set to provide bidders a reasonable time to prepare their bids. Without limiting the foregoing requirements, the date of opening may not be less than seven (7) days after notice of the solicitation is provided as required by Section 11–35–1520(3), unless a shorter time is deemed necessary for a particular procurement as determined in writing by the Chief Procurement Officer or the head of the purchasing agency or his designee.

HISTORY: Added by State Register Volume 6, Issue No. 7, eff May 7, 1982. Amended by State Register Volume 19, Issue No. 2, eff February 24, 1995; State Register Volume 31, Issue No. 5, eff May 25, 2007; SCSR 44–4 Doc. No. 4861, eff April 24, 2020; SCSR 44–6 Doc. No. 4894, eff June 26, 2020.

19–445.2040. The Official State Government Publication.

The name of the official state government publication shall be known as the ''South Carolina Business Opportunities.'' It shall be published by the Materials Management Office at least weekly. The purpose is to provide a listing of proposed procurements of construction, information technology, supplies, services and other procurement information of interest to the business community. Except as otherwise provided by law, the publication will be available to all interested parties by posting on a public-facing Internet site. Contents shall be limited to inclusion of proposed procurements required by regulations and such other business information as approved by the Materials Management Officer. Publication of proposed procurements of a classified nature or emergencies may be excluded from publication.

HISTORY: Added by State Register Volume 6, Issue No. 7, eff May 7, 1982. Amended by State Register Volume 19, Issue No. 2, eff February 24, 1995; State Register Volume 31, Issue No. 5, eff May 25, 2007; SCSR 44–4 Doc. No. 4861, eff April 24, 2020.

19–445.2042. Pre-Bid Conferences.

A. Pre-bid conferences may be conducted. The conference should be held long enough after the Invitation for Bids has been issued to allow bidders to become familiar with it, but sufficiently before bid opening to allow consideration of the conference results in preparing their bids. Notice of the conference must be included in the notice of the solicitation required by Articles 5 or 9 of this code.

B. Nothing stated at the pre-bid conference shall change the Invitation for Bids unless a change is made by written amendment. A potential bidder's failure to attend an advertised pre-bid conference will not excuse its responsibility for estimating properly the difficulty and cost of successfully performing the work, or for proceeding to successfully perform the work without additional expense to the State.

C. Pre-bid conferences may not be made mandatory absent a written determination by the head of the governmental body or his designee that the unique nature of the procurement justifies a

modification), -2440 (Records of procurement actions), -2730 (Assuring competition), and -4230 (Authority to resolve contract and breach of contract controversies).

HISTORY: Added by State Register Volume 6, Issue No. 7, eff May 7, 1982. Amended by State Register Volume 19, Issue No. 2, eff February 24, 1995; State Register Volume 31, Issue No. 5, eff May 25, 2007; SCSR 43–8 Doc. No. 4895, eff August 23, 2019 (interim); SCSR 44–6 Doc. No. 4894, eff June 26, 2020.

19–445.2110. Emergency Procurements.

A. Application.

The provisions of this Regulation apply to every procurement made under emergency conditions that will not permit other source selection methods to be used.

B. Definition.

An emergency condition is a situation which creates a threat to public health, welfare, or safety such as may arise by reason of floods, epidemics, riots, equipment failures, fire loss, or such other reason as may be proclaimed by either the Chief Procurement Officer or the head of a purchasing agency or a designee of either office. The existence of such conditions must create an immediate and serious need for supplies, services, information technology, or construction that cannot be met through normal procurement methods and the lack of which would seriously threaten:

(1) the functioning of State government;

(2) the preservation or protection of property; or

(3) the health or safety of any person.

C. Limitations.

Emergency procurement shall be limited to those supplies, services, information technology, or construction items necessary to meet the emergency.

D. Conditions.

Any governmental body may make emergency procurements when an emergency condition arises and the need cannot be met through normal procurement methods, provided that whenever practical, approval by either the head of a purchasing agency or his designee or the Chief Procurement Officer shall be obtained prior to the procurement.

E. Selection of Method of Procurement.

The procedure used shall be selected to assure that the required supplies, services, information technology, or construction items are procured in time to meet the emergency. Given this constraint, such competition as is practicable shall be obtained.

F. Notice.

Compliance with the notice requirements in Section 11–35–1570(B) must be documented in the procurement file.

G. Written Determination.

The Chief Procurement Officer or the head of the purchasing agency or a designee of either office shall make a written determination stating the basis for an emergency procurement and for the selection of the particular contractor. The determination must contain sufficient factual grounds and reasoning to provide an informed, objective explanation for the decision.

HISTORY: Added by State Register Volume 6, Issue No. 7, eff May 7, 1982. Amended by State Register Volume 31, Issue No. 5, eff May 25, 2007; SCSR 43–8 Doc. No. 4895, eff August 23, 2019 (interim); SCSR 44–6 Doc. No. 4894, eff June 26, 2020.

19–445.2115. Information Technology Procurements.

A. Reserved.

B. Reserved.

C. Software Licensing

Pursuant to Section 11–35–510, the Information Technology Management Officer may execute an agreement with a business on behalf of, and which binds all, governmental bodies in order to establish the terms and conditions upon which computer software may be licensed, directly or indirectly, from

that business by a governmental body. Such an agreement may provide for the voluntary participation of any other South Carolina public procurement unit. Such agreements do not excuse any governmental body from complying with any applicable requirements of the Procurement Code and these Regulations, including the requirements of Section 11–35–1510.

HISTORY: Added by State Register Volume 6, Issue No. 7, eff May 7, 1982. Amended by State Register Volume 23, Issue No. 5, eff May 28, 1999; State Register Volume 31, Issue No. 5, eff May 25, 2007; SCSR 43–8 Doc. No. 4895, eff August 23, 2019 (interim); SCSR 44–6 Doc. No. 4894, eff June 26, 2020.

19–445.2120. Cost or Pricing Data.

A. Definitions

(1) Adequate Price Competition. Price competition exists if competitive sealed proposals are solicited, at least two responsive and responsible offerors independently compete for a contract, and price is a substantial factor in the evaluation. If the foregoing conditions are met, price competition shall be presumed to be "adequate" unless the procurement officer determines in writing that such competition is not adequate.

(2) Commercial product has the meaning stated in Section 11–35–1410(1).

(3) Established catalog price has the meaning stated in Section 11–35–1410.

(4) Established Market Price means a current price, established in the usual and ordinary course of trade between buyers and sellers, which can be substantiated from sources which are independent of the manufacturer or supplier and may be an indication of the reasonableness of price.

(5) Prices Set by Law or Regulation. The price of a supply or service is set by law or regulation if some governmental body establishes the price that the offeror or contractor may charge the State and other customers.

B. Thresholds

(1) Section 11–35–1830(1)(a) applies where the total contract price exceeds five hundred thousand dollars.

(2) Section 11–35–1830(1)(b) applies where the pricing of any change order, contract modification, or termination settlement exceeds five hundred thousand dollars, unless the procurement officer determines in writing that such information is necessary to determine that the pricing is reasonable. Price adjustment amounts shall consider both increases and decreases (e.g., a $150,000 modification resulting from a reduction of $350,000 and an increase of $200,000 is a pricing adjustment exceeding $500,000.). This requirement does not apply when unrelated and separately priced changes for which cost or pricing data would not otherwise be required are included for administrative convenience in the same modification.

(3) Ordinarily, cost and pricing data should not be required for the acquisition of any item that meets the definition of commercial product, including any modification that does not change the item from a commercial product to a non-commercial product. The contractor may be required to submit cost or pricing data for commercial products or COTS only if the purchase or modification exceeds the thresholds established in this section and the procurement officer determines in writing that no other basis exists to establish price reasonableness.

C. Conditions of Waiver

The requirements of Section 11–35–1830 may be waived if the head of the using agency determines in writing that the price can be determined to be fair and reasonable without submission of cost or pricing data.

D. Refusal to Submit Data

A refusal by the offeror to supply the requested information may be grounds to disqualify the offeror or to defer award pending further review and analysis.

HISTORY: Added by State Register Volume 31, Issue No. 5, eff May 25, 2007. Amended by SCSR 43–8 Doc. No. 4895, eff August 23, 2019 (interim); SCSR 44–6 Doc. No. 4894, eff June 26, 2020.

Editor's Note

A previous R. 19–445.2120, entitled "Lease and/or Rental of Office Space and Other Real Property", was repealed by State Register Volume 23, Issue No. 5, eff May 28, 1999.